January 2016 Paper 02

Section I (Compulsory)

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Traditional economic system (2 marks); (ii) Planned economic system (2 marks)

(a)(i) Traditional economic system

A traditional economic system is one in which decisions about what to produce, how to produce it and for whom to produce are based on customs, beliefs and habits passed down from one generation to the next. Production is usually small in scale, with most of the activity centred on farming, fishing and handicraft, and most of the goods produced are consumed by the family or village rather than being sold.

(a)(ii) Planned economic system

A planned economic system is one in which the central government makes all the major economic decisions about what is produced, how it is produced and how it is shared among the citizens. The state owns most of the resources and the means of production, sets prices and wages, and runs the main industries through state-owned enterprises with little role for private business.

1(b) Mixed economic system

(b)(i) State TWO advantages of a mixed economic system. (2 marks); (ii) State TWO disadvantages of a mixed economic system. (2 marks)

(b)(i) TWO advantages of a mixed economic system

- Important goods and services such as health care, education and water are provided by the government to all citizens, even those who cannot afford to pay private prices.
- Private businesses are free to compete and to make a profit, which encourages hard work, new ideas and a wider variety of goods and services for consumers.

(b)(ii) TWO disadvantages of a mixed economic system

- Government-owned enterprises can become inefficient and run at a loss because they are not under the same pressure to compete as private businesses.
- There can be conflict between the government and private businesses over taxes, regulations and the role of each sector, which can slow down economic growth.

1(c) How a business can fulfil its role to government

Outline THREE ways in which a business could fulfill its role to government. (6 marks)

Paying taxes and statutory contributions on time

Businesses have a duty to pay taxes such as company tax, value added tax and customs duty, as well as National Insurance and other statutory contributions for their workers. Paying these on time gives the

government revenue to spend on schools, hospitals, roads and other public services that benefit the whole society.

Obeying the laws and regulations of the country

A business plays its role to the government by following the laws on health and safety, environmental protection, employment, fair trading and consumer protection. By obeying these rules, the business helps the government to keep order, protect citizens and maintain a fair and safe business environment.

Providing employment and accurate information

By creating jobs for citizens, a business reduces unemployment and the strain on government social services. The business also fulfils its role by giving the government accurate information about its sales, profits, workers and exports through tax returns, statistical surveys and other reports, which the government uses to plan the economy.

1(d) Stakeholders' contribution to the success of a business

Explain ONE way in which EACH of the following stakeholders contributes to the success of a business: (i) Business owners (3 marks); (ii) Employees (3 marks)

(d)(i) Business owners

Business owners contribute to the success of the business by providing the capital needed to set it up and keep it running, and by taking on the risk of losing their money if the business fails. They also use their skills and experience to make the major decisions about what to produce, how to compete and how to invest the profits, and they give direction and motivation to the workers. Without committed owners willing to invest money and effort, the business would not be able to start, grow or survive.

(d)(ii) Employees

Employees contribute to the success of the business by providing the labour and skills needed to actually produce the goods or deliver the services that the business sells. By coming to work on time, working hard, treating customers well and using their training and experience, employees help the business to produce quality goods, satisfy customers and keep costs under control. Loyal and motivated workers also share useful ideas with management, which helps the business to improve and grow over time.

Question 2

2(a) Teamwork

(a)(i) Define the term 'teamwork'. (2 marks); (ii) State TWO advantages and TWO disadvantages of teamwork within an organization. (4 marks)

(a)(i) Definition of teamwork

Teamwork is the act of a group of workers cooperating and working together towards a shared goal, with each member using his or her own skills and effort to help the team to succeed. In a team, members share ideas, support one another and divide the work so that the task is completed more easily and to a higher standard than any single person could achieve alone.

(a)(ii) TWO advantages and TWO disadvantages of teamwork

Two advantages of teamwork are:

- Tasks are completed faster because the work is shared among several members, each using their own special skills.
- Better decisions are made because team members share different ideas and information, and any mistakes are more likely to be picked up before they cause problems.

Two disadvantages of teamwork are:

- Conflicts and disagreements can arise between members with different personalities or opinions, which can slow down the work and damage relationships.
- Some members may not pull their weight and may rely on others to do most of the work, which is unfair and frustrating to the rest of the team.

2(b) How teamwork is used at school or in the workplace

Outline TWO examples that show how teamwork is used at a school or in a workplace. (4 marks)

Teamwork on a school project

When students are given a group project such as a science investigation or a business plan, they work as a team. One student may research the topic, another may write up the findings, a third may prepare the visual aids and a fourth may present to the class. By dividing the work and combining their efforts, the students complete the project to a higher standard than any of them could do alone.

Teamwork in a hotel kitchen

In a busy hotel kitchen, the executive chef, sous chef, line cooks, pastry chef and kitchen assistants work as a team to prepare meals for guests. Each member has a clear role, from preparing ingredients to cooking, plating and washing up, and they communicate constantly so that orders go out hot and on time. The teamwork allows the kitchen to serve a large number of guests quickly and to a high standard.

2(c) Important elements in the communication process

List FOUR important elements in the communication process. (4 marks)

Four important elements in the communication process are:

- The sender, who is the person with the message and who starts the communication.
- The message, which is the actual information, idea or instruction being communicated.
- The medium or channel, which is the means used to send the message, such as a letter, email, phone call or face-to-face conversation.
- The receiver and feedback, that is, the person for whom the message is intended and the response that the receiver gives back to show that the message was understood.

2(d) Strategies for effective communication

Using an example, outline ONE strategy for effective communication between EACH of the following groups: (i) Teachers and students (3 marks); (ii) Teachers and parents (3 marks)

(d)(i) Teachers and students

One strategy for effective communication between teachers and students is for teachers to use clear, simple language and to ask students to give feedback in their own words. For example, after explaining a topic such as the factors of production, the teacher can ask different students to give their own examples and to summarise the main points. This shows whether the students have understood the lesson and gives the teacher a chance to clear up any confusion right away.

(d)(ii) Teachers and parents

One strategy for effective communication between teachers and parents is for the school to hold regular parent-teacher conferences and to send home written progress reports. For example, at the end of each term, the school can invite parents to meet the class teacher to discuss the child's grades, behaviour and attendance, supported by a written report. This two-way exchange helps parents to understand how their child is doing and allows the teacher to learn from the parents about anything happening at home that may affect the child's school work.

Question 3

3(a) Entrepreneur

(a)(i) Define the term 'entrepreneur'. (2 marks); (ii) State TWO advantages and TWO disadvantages of being an entrepreneur. (4 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who sees a business opportunity, brings together the factors of production (land, labour and capital), takes the risk of investing his or her own time and money, and organises and runs a business with the aim of making a profit.

(a)(ii) TWO advantages and TWO disadvantages of being an entrepreneur

Two advantages of being an entrepreneur are:

- The entrepreneur is his or her own boss and has the freedom to make all the major decisions about the business.
- The entrepreneur keeps all the profits of the business and can build up personal wealth if the business does well.

Two disadvantages of being an entrepreneur are:

- The entrepreneur takes on all the risks of the business and stands to lose his or her own money and assets if the business fails.
- The entrepreneur often works long hours, including nights, weekends and holidays, and has no paid leave or guaranteed income.

3(b) Characteristics and problems of entrepreneurs

(b)(i) Identify FOUR characteristics of an entrepreneur. (4 marks); (ii) Identify TWO problems faced by entrepreneurs. (2 marks); (iii) Outline ONE way in which any ONE problem identified in (ii) above may be resolved. (2 marks)

(b)(i) FOUR characteristics of an entrepreneur

- Willing to take calculated risks with money, time and effort.
- Creative and innovative, able to spot new business opportunities and come up with new products or new ways of doing things.
- Self-confident, hard-working and determined to keep going when things become difficult.
- Good at making decisions, organising people and managing money.

(b)(ii) TWO problems faced by entrepreneurs

- Difficulty in raising enough capital to start and grow the business.
- Strong competition from larger and more established businesses already in the market.

(b)(iii) ONE way the problem may be resolved

The problem of raising capital can be resolved by preparing a strong business plan and using it to apply for a loan from a development bank or a small business loan from a commercial bank. The entrepreneur can also approach family members and friends to invest in the business, look for grants from government agencies, or take on a partner who is willing to put in money in exchange for a share of the profits.

3(c) Benefits of entrepreneurship to an economy

Explain TWO ways in which entrepreneurship benefits an economy. (6 marks)

Creation of jobs and reduction of unemployment

Entrepreneurs set up new businesses that need workers to produce the goods, serve customers and run the offices. Each new business that is created therefore provides jobs for citizens, lowers the rate of unemployment and increases household income. As more people earn wages, they can buy more goods and services, which encourages further business activity and helps the economy to grow.

Increased output, government revenue and innovation

New businesses add to the total output of goods and services in the country, which raises the gross domestic product. They also pay taxes to the government, giving it more money to spend on schools, hospitals and roads. On top of this, entrepreneurs often introduce new products, new technology and new ways of doing things, which makes the economy more modern and competitive both at home and overseas.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Marketing and the marketing mix

(a)(i) Define the term 'marketing'. (2 marks); (ii) List the FOUR elements of the 'marketing mix'. (4 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the

price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) FOUR elements of the marketing mix

- Product, which is the goods or services that the business offers to satisfy customer needs.
- Price, which is the amount of money the customer pays for the product.
- Place, which is how and where the product is made available to the customer.
- Promotion, which is the activities used to inform and persuade customers to buy the product, such as advertising, sales promotion and personal selling.

4(b) Public relations and other marketing methods

(b)(i) State TWO reasons why firms engage in public relations (PR). (2 marks); (ii) Describe THREE marketing methods, other than social media, employed by businesses to promote sales. (6 marks)

(b)(i) TWO reasons firms engage in public relations

- To build and protect a positive image and reputation of the business in the minds of the public, customers, workers and government.
- To create goodwill that will help to attract and keep customers, workers and investors over the long term.

(b)(ii) THREE marketing methods other than social media

Advertising in traditional media

Businesses pay for advertisements on television, radio, newspapers, magazines and billboards to inform large numbers of people about their products. Television and radio commercials use sound and pictures to grab attention, while newspaper and billboard advertisements give written details about prices and special offers. Repeated advertising helps to keep the brand in the minds of customers.

Sales promotion

Businesses use short-term offers such as discounts, coupons, buy-one-get-one-free deals, free samples, competitions and loyalty cards to encourage customers to buy now rather than later. These promotions are often run during slow periods or when launching a new product, and they give a quick boost to sales.

Personal selling

Businesses use trained sales representatives to meet with customers face to face, either in the shop, at the customer's home or at trade shows. The salesperson explains the features of the product, answers questions, demonstrates how it works and persuades the customer to make a purchase. Personal selling is especially useful for products that are expensive or technical.

4(c) Using social media to promote sales

Explain TWO ways in which businesses can use social media to promote sales. (6 marks)

Posting product information and special offers to followers

Businesses can create pages on Facebook, Instagram and other social media sites and use them to post pictures, videos and descriptions of new products, along with information about prices and special offers.

Followers see these posts in their news feed every day, which keeps the brand in their minds and encourages them to visit the store or website. Eye-catching photos and short videos can quickly reach a large number of customers at very little cost.

Engaging with customers and using paid targeted advertising

Businesses can reply to comments, answer questions and run polls and contests on social media, which builds a community of loyal customers and gives the business useful feedback. They can also use the paid advertising tools on platforms such as Facebook and Instagram to send adverts to specific groups of users based on age, location and interests. This targeted approach helps the business to reach the customers most likely to buy and to convert online interest into actual sales.

Question 5

5(a) Services offered by commercial and central banks

List THREE services offered by EACH of the following institutions: (i) Commercial banks (3 marks); (ii) Central banks (3 marks)

(a)(i) THREE services offered by commercial banks

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Providing loans, mortgages and overdrafts to individuals and businesses.
- Offering money transfer services such as standing orders, direct debits and electronic transfers, including the issue of credit and debit cards.

(a)(ii) THREE services offered by central banks

- Issuing the country's notes and coins and controlling the money supply.
- Acting as banker to the government and to the commercial banks, including holding their reserves.
- Supervising and regulating the commercial banks and other financial institutions to keep the financial system safe.

5(b) Current account vs ordinary savings account

Differentiate between a 'current account' and an 'ordinary savings account'. (4 marks)

Current account

A current account is a bank account designed mainly for businesses and individuals who need to make regular payments. The customer can deposit and withdraw money many times a day, write cheques to pay bills and use a debit card to access the funds. Current accounts usually pay little or no interest on the balance and may charge fees, but they offer the convenience of overdraft facilities and easy day-to-day money management.

Ordinary savings account

An ordinary savings account is a bank account designed to encourage customers to save money. The customer earns interest on the balance held in the account, and there are usually limits on the number of

withdrawals that can be made each month. Cheques cannot be written on a savings account, and the main aim is to keep money safely while earning a small return.

5(c) Influence of technology on banking and commerce

Outline TWO ways in which technology has influenced banking and commerce. (4 marks)

Introduction of online and mobile banking

Through online banking websites and mobile banking applications, customers can now check their accounts, transfer money, pay bills and apply for loans from their homes or workplaces at any time of day. This has reduced the need for customers to visit the branch, allowed banks to serve more customers without building more branches and made everyday banking faster and more convenient.

Use of electronic payments and e-commerce in trade

Technology has made it possible for customers to pay for goods and services using debit and credit cards, point-of-sale machines and online payment platforms. Businesses can now sell goods on websites and on social media to customers around the world, and the funds are transferred from buyer to seller electronically. This has greatly increased the speed, reach and security of commerce.

5(d) How a central bank regulates commercial banks

Explain TWO ways in which a central bank regulates the activities of commercial banks. (6 marks)

Setting reserve requirements and the bank rate

The central bank requires every commercial bank to keep a certain percentage of its deposits in reserve, either in its own vaults or at the central bank. By raising or lowering this reserve requirement, the central bank controls how much money the commercial banks can lend out, which influences the amount of credit and the level of inflation in the economy. The central bank also sets the bank rate (the rate at which it lends to commercial banks), which guides the rates that commercial banks charge their customers.

Supervising operations and conducting open market operations

The central bank inspects the books and operations of commercial banks to make sure they are following banking laws and managing customer deposits safely. It can take action against banks that break the rules, including imposing fines or removing managers. The central bank also buys and sells government securities on the open market to add or take money out of the banking system, which controls how much money the commercial banks have available to lend.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Direct vs indirect taxes and examples

(a)(i) State TWO differences between 'direct taxes' and 'indirect taxes'. (4 marks); (ii) List ONE example of a direct tax and ONE example of an indirect tax. (2 marks)

(a)(i) TWO differences between direct and indirect taxes

Who pays the tax

A direct tax is paid by the person or business on whom it is charged and cannot be passed on to anyone else, for example, the income tax that comes out of a worker's salary. An indirect tax, on the other hand, is collected by a business from the customer at the point of sale and then passed on to the government, so the final burden is shifted to the consumer.

What the tax is charged on

A direct tax is charged on the income, profits or wealth of a person or business, such as the income earned during the year or the value of property owned. An indirect tax is charged on the spending of consumers when they buy goods and services, such as the value added tax added to the price of items in a shop.

(a)(ii) ONE example of each

- Direct tax: Personal income tax (PAYE) deducted from a worker's salary.
- Indirect tax: Value added tax (VAT) or general consumption tax added to the price of goods and services.

6(b) Reasons governments charge taxes and other revenue sources

(b)(i) Outline THREE reasons why governments charge taxes. (6 marks); (ii) Identify TWO sources of government revenue, other than taxes. (2 marks)

(b)(i) THREE reasons governments charge taxes

To raise revenue to provide public goods and services

Taxes are the main source of money the government uses to pay for services such as schools, hospitals, roads, the police and the army. Without tax revenue, the government would not be able to provide the services that all citizens need but cannot easily buy on their own.

To redistribute income from the rich to the poor

By using progressive taxes, the government takes a larger share of income from people with high incomes and uses it to fund welfare benefits, free education and subsidised health care for those with low incomes. This helps to reduce the gap between rich and poor and to give all citizens a fair chance in life.

To control consumption and protect local industry

The government uses high taxes such as excise duty on tobacco, alcohol and fuel to discourage harmful consumption, and uses customs duties on imported goods to make them more expensive than locally produced ones. This protects the health of citizens, the environment and local businesses from foreign competition.

(b)(ii) TWO sources of government revenue other than taxes

- Fees and charges, such as licence fees, court fees and passport fees.
- Profits from state-owned enterprises, grants from foreign governments and international agencies, and loans raised by selling government bonds.

6(c) Proportional vs progressive taxation

Explain why the higher income earner pays more than the lower income earner under EACH of the following forms of taxation: (i) Proportional (3 marks); (ii) Progressive (3 marks)

(c)(i) Proportional

Under proportional taxation, every taxpayer pays the same percentage of his or her income in tax, no matter how much they earn. The higher income earner therefore pays more than the lower income earner because the same fixed rate is applied to a larger income. For example, at a tax rate of 20 per cent, a person who earns $100,000 pays $20,000 in tax, while a person who earns $50,000 pays $10,000 in tax, even though both are taxed at the same rate.

(c)(ii) Progressive

Under progressive taxation, the rate of tax rises as income rises, so people with higher incomes pay both a larger amount and a larger percentage of their income in tax. The higher income earner therefore pays more than the lower income earner for two reasons: not only is their income larger, but the extra income falls into higher tax brackets that are charged at a higher rate. This system is used to make sure that those who can afford to pay more carry a fairer share of the tax burden.

Question 7

7(a) International trade

(a)(i) Define the term 'international trade'. (2 marks); (ii) Outline THREE reasons why countries trade with each other. (6 marks)

(a)(i) Definition of international trade

International trade is the buying and selling of goods and services between people, businesses and governments of different countries. It includes the export of goods and services from one country to another and the import of goods and services from foreign countries, and it usually involves payment in foreign currency.

(a)(ii) THREE reasons countries trade with each other

Differences in natural resources and climate

No country has all the natural resources and climate it needs to produce every good and service its citizens want. Caribbean countries trade with others to obtain goods such as wheat, oil, machinery and medicines that they cannot produce in large amounts at home, while exporting goods such as bananas, sugar, bauxite and tourism services that they can produce well.

To benefit from specialisation and lower costs

Different countries can produce different goods more cheaply or to a higher standard than others, because of their special skills, technology or large-scale production. By specialising in what they do best and trading with others, countries can enjoy a wider variety of goods at lower prices than if every country tried to produce everything for itself.

To earn foreign exchange and promote economic growth

By selling exports to other countries, a nation earns foreign currency such as US dollars, which it can use

to pay for needed imports and to repay foreign loans. International trade also creates jobs in farming, manufacturing, transport and services, raises national income and helps the economy to grow over time.

7(b) Balance of trade vs balance of payments

(b)(i) Differentiate between 'balance of trade' and 'balance of payments'. (4 marks); (ii) List TWO components of a balance of payments account. (2 marks)

(b)(i) Balance of trade vs balance of payments

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods and is one part of the balance of payments.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. It shows the overall position of the country in its dealings with other countries.

(b)(ii) TWO components of a balance of payments account

- The current account, which records trade in goods and services, income from investments and current transfers.
- The capital and financial account, which records the inflow and outflow of money for investment, loans and other capital transactions.

7(c) Addressing a balance of payments deficit

Explain TWO ways in which governments can address a balance of payments deficit. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the deficit on the balance of payments narrows.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political and economic environment stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.